

Federal Reserve - Monetary Policy Update March 2026

Policy Statement

The Federal Open Market Committee (FOMC) decided to maintain the target range for the federal funds rate at 4-1/4 to 4-1/2 percent. The Committee will continue reducing its holdings of Treasury securities and agency debt at the current pace of \$60 billion per month.

Economic Outlook

Recent indicators suggest that economic activity has continued to expand at a solid pace. The unemployment rate has stabilized at 4.1%. Inflation has eased over the past year but remains somewhat elevated relative to the 2% longer-run goal. CPI stands at 2.9% YoY. Core PCE inflation is 2.7%, showing steady progress toward the 2% target.

Interest Rate Guidance

The Committee anticipates that it will be appropriate to reduce the target range for the federal funds rate by 25 basis points at each of two meetings in H2 2026, contingent on inflation falling sustainably below 2.8%. Markets currently price a 72% probability of the first cut at the September 2026 meeting and an 85% probability of a second cut in December 2026.

Interest Rate Sensitivity for Fixed Income Portfolios

Duration-sensitive fixed income portfolios face estimated NAV impact of -1.4% per 100 basis point parallel shift in the yield curve. The 10-year Treasury yield currently stands at 4.28%. A steepening scenario (short rates down 50bps, long rates unchanged) would benefit mortgage-backed securities and long-duration bonds by an estimated 1.8-2.2% in total return.

Financial Stability Assessment

Overall financial stability vulnerabilities remain moderate. Asset valuations in equity markets appear elevated relative to historical norms. Commercial real estate exposures at regional banks continue to require monitoring. Leverage in the non-bank financial sector remains elevated. Liquidity in Treasury markets has improved relative to Q4 2025.